Construction Partners (ROAD): Hold — Valuation Concerns

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A Sunbelt paving compounder priced for perfection. At $80.46, ROAD trades 32% above our $61.07 base case. A realistic WACC for a leveraged cyclical changes the math.

Hold — Valuation Concerns	$61.07	$80.46	-24%
RATING	BASE TARGET (BLENDED $65.02)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

Price targets are dynamic and adjust with live Treasury yields, the equity risk premium, and beta. The valuation website always reflects the most current targets.

$33.78 / $104.17	8.56%	$3.36B	$3.66B	$1.79B	0.95
BEAR / BULL TARGETS	LIVE WACC	RECORD BACKLOG	FY26 GUIDE (MID)	NET DEBT	EQUITY BETA

Executive summary

We update our Construction Partners model to **Hold — Valuation Concerns** with a $61.07 base-case target (blended $65.02). ROAD is a vertically integrated Sunbelt infrastructure company with a genuine localized moat: hot-mix asphalt must be laid within 60-90 minutes of the plant, creating spatial monopolies around its plant clusters across eight states. The $3.36B record backlog and FY2026 guidance of $3.64-3.68B (+30% YoY) show the IIJA and Sunbelt migration tailwinds working. Revenue growth of 54% and stable fundamentals confirm the operating story is healthy.

Our five-year DCF (4.5% / 8.5% / 13.5% revenue CAGRs, FCF margins normalizing to 6% / 7% / 8%) yields Bear $33.78, Base $61.07, Bull $104.17 at an 8.56% live WACC. The stock has pulled back 33% from $120 to $80.46, but still trades 32% above our base case. The prior 7.6% WACC ignored the risk of 3.2x leverage on a cyclical construction business; a 1% cyclical/leverage premium corrects that.

> **Our read:** the drawdown has brought ROAD closer to fair value, but not to a bargain. Our reverse DCF shows $80.46 implies roughly **11.7% annual revenue growth**, between our base and bull cases. The $1.79B of net debt (3.2x EBITDA) is the constraint: deleveraging toward 2.5x must happen before the equity can re-rate. We are constructive on the franchise but patient on the price.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	4.5%	8.5%	13.5%
2030 revenue ($B)	4.56	5.51	6.89
2030 FCF margin	6%	7%	8%
Terminal growth	2.5%	3.0%	3.5%
Target per share	**$33.78**	**$61.07**	**$104.17**

WACC 8.56% live (spot 10Y 5.24% + 0.95 beta x 3.37% implied ERP + 1.0% cyclical/leverage premium). Gordon terminal. Net debt $1.79B; 56.76M shares.

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Bull case: $104.17 DATA-CENTER BOOM

Hyperscale AI site preparation accelerates across Texas and Oklahoma, IIJA funds flow ahead of expiry, and deleveraging expands margins. Revenue grows at 13.5% to $6.9B with 8% FCF margins. Worth $104.17, 29% above spot.

Bear case: $33.78 LEVERAGE BITES

High rates persist, weather disrupts paving seasons, and the 3.2x leverage constrains bidding. Revenue grows at 4.5% to $4.6B, FCF margins stall at 6%. Worth $33.78, 58% below spot.

Verdict

We rate ROAD Hold — Valuation Concerns. The franchise is excellent: a genuine localized moat in Sunbelt paving, a record $3.36B backlog, FY2026 guidance of $3.64-3.68B (+30% YoY), and revenue growth of 54% on stable fundamentals. Nothing about the operating story has deteriorated. The concern is purely valuation: at $80.46 the stock trades 32% above our $61.07 base case once the discount rate reflects leverage and cyclicality, and the risk-reward is skewed (29% upside to the bull case against 58% downside to the bear case). We reserve Sell for names where overvaluation meets fundamental deterioration; ROAD is the opposite: a strong, healthy business at a full price. We would revisit below $50, where the base case starts to offer compensation for the cyclical risk.

What would change our mind

- **Price:** a decline toward $55-67 would bring the stock within our 10% Hold band.
- **Deleveraging:** net leverage below 2.5x would reduce interest drag and lift targets.
- **Backlog acceleration:** data-center awards pushing backlog above $4B would support the bull case.

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Key themes

1. Spatial monopoly is a real moat STABLE

Asphalt's 60-90 minute lay window creates natural regional monopolies. ROAD's plant clusters command top-1 or top-2 share within 50 miles, with upstream integration into aggregates and liquid asphalt.

2. IIJA provides multi-year visibility ACCELERATING

Public infrastructure (60-65% of revenue) benefits from fixed federal allocations and state gas taxes, providing 3-5 years of recurring revenue visibility.

3. Data-center site prep is the growth kicker ACCELERATING

Expanded Texas and Oklahoma footprint positions ROAD for hyperscale AI site preparation, the fastest-growing private revenue stream.

4. Leverage is the constraint DECELERATING

$1.89B of debt against $95M of cash (3.2x EBITDA) reflects the M&A-driven expansion. Deleveraging toward 2.5x is the key financial milestone.

Other KPIs

METRIC	VALUE
Market cap (at $80.46)	$4.57B
Enterprise value	$6.36B
Q3 FY26 revenue / YoY	$999M / +28%
Q3 EPS / beat	$1.08 / +$0.07
Adj. EBITDA margin	16.3%
Net debt / EBITDA	3.2x

Guidance

Q4 FY2026 results are due November 19. Consensus expects $3.08 EPS for FY2026. Watch backlog conversion, deleveraging progress, and data-center award announcements.

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Reverse DCF: what the market is pricing in

At $80.46, ROAD carries a $4.57B market cap and a $6.36B enterprise value. The market-implied five-year revenue CAGR is roughly **11.7%**, between our base case (8.5%) and bull case (13.5%).

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~11.7%	$80.46 (spot)
Bull case	13.5%	**$104.17**
Base case	8.5%	**$61.07**
Bear case	4.5%	**$33.78**

The market is pricing in strong execution, which the record backlog supports. The valuation is full rather than cheap: at 11.7% implied growth the market pays for a near-bull trajectory on a leveraged cyclical. Deleveraging toward 2.5x is the catalyst to watch.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1aH0EPOQIILSlnet4bekLQPBW2U_o3yw3MZLaflZZ0fg/edit?usp=drivesdk

Risks to our Hold

- **Interest rates staying higher for longer would pressure the leveraged balance sheet.**
- **Severe weather seasons reducing billable paving days.**
- **Commodity spikes in liquid asphalt compressing margins before index adjustments catch up.**

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